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Inventory Analysis

In this section, we will analyze and understand more about inventory. We will understand this analysis by looking at the following ratios and asking some questions.



This helps us understand how efficiently the company's inventory is managed and how much revenue can be generated from how little inventory.

Inventory Analysis					
Average Inventory/Sales	11.12%	12.26%	12.28%	12.78%	14.83%
DSI	93.29	96.37	88.50	99.96	116.89
Days sales in Raw materials	33.61	39.56	38.53	44.24	55.01
Days sales in work in progress	7.75	7.77	7.68	8.74	9.40
Days sales in Finished Goods	39.63	37.16	31.15	34.00	37.23

Life of inventory before it becomes obsolete -
Technology and Fashion are v sensitive for e.g

Check historical inventory sticks and stock crisis

Average Inventory/ sales:

Average Inventory/ Sales is a ratio that explains how inventory intensive is a business i.e. how much inventory is required to generate how much sales.

Here we see that inventory as a percentage of sales is between and 11% and 14%. We see that it is increasing from 11% to 14% which is not a good sign. We can attribute a part of it to COVID19. However, if this increase is permanent, then we need to understand the reason for this increase.

